

Xactimate Dispute Guide: Line by Line

How to Read, Challenge, and Supplement Insurance Estimates

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The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes. Any resemblance to specific claims or individuals is coincidental unless otherwise noted.

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CHAPTER 1

Understanding Xactimate

What Is Xactimate?

Xactimate is the industry-standard estimating software used by virtually every insurance carrier in the United States. Developed by Verisk Analytics (formerly Xactware), it is a pricing database and estimating platform that generates line-item construction estimates for property damage claims. When your insurance adjuster comes to your home, inspects the damage, and produces an estimate, that estimate was almost certainly created in Xactimate.

Understanding this software is critical for policyholders because Xactimate is simultaneously the tool that determines what you get paid and the tool that carriers use to minimize what they pay. The software itself is neutral — it is a database of prices and activities. But the person operating the software makes choices about what to include, what to exclude, what quality of materials to use, and how to measure quantities. Those choices are where the dispute lives.

Key Principle

Xactimate is not your enemy — it is a tool. The problem is not the software; it is how the carrier's adjuster uses it. When you understand the tool, you can fight on equal ground.

How Carriers Use Xactimate

Insurance carriers subscribe to Xactimate's pricing database, which is updated monthly with local labor and material costs. In theory, this means the estimates should reflect real-world pricing. In practice, carriers manipulate the software in several ways to lower their payouts.

- Using 'program pricing' — custom price lists that override Xactimate's default local pricing with lower rates

- Excluding line items for work that is clearly necessary (e.g., removing baseboards to do drywall repair)
- Using minimum-charge thresholds to avoid paying for small but real items of damage
- Selecting the cheapest material grade instead of matching what you actually have
- Underestimating quantities by using shortcuts instead of actual measurements
- Omitting overhead and profit even when the job clearly requires a general contractor
- Excluding code upgrade line items that are required by current building codes

CHAPTER 2

Reading an Xactimate Estimate Page by Page

An Xactimate estimate has a standard structure that, once you learn to read it, will tell you everything you need to know about what the carrier is and is not paying for. Let me walk you through the key sections.

The Summary Page

The first page or pages of an Xactimate estimate are the summary. This shows the total amounts broken down by category — typically Dwelling (Coverage A), Other Structures (Coverage B), and sometimes Contents (Coverage C). You will see line items for the total Replacement Cost Value (RCV), depreciation applied, and the resulting Actual Cash Value (ACV). Check the math here first. I have seen carriers apply depreciation incorrectly at the summary level, resulting in a lower ACV than the individual line items support.

Room-by-Room Detail Pages

After the summary, you will find detailed pages organized by room or area. Each page lists individual line items representing specific construction activities. Every line item has several components you need to understand.

- Selector Code — a unique identifier for the activity (e.g., DRY60 for drywall removal)
- Description — what the line item covers
- Quantity — the amount (measured in square feet, linear feet, each, etc.)
- Unit Price — the cost per unit (this is where program pricing manipulation shows up)
- Total — quantity multiplied by unit price

- Depreciation — the age-based reduction applied to get from RCV to ACV
- ACV — the actual cash value after depreciation is applied

The Depreciation Schedule

Somewhere in the estimate — usually at the end — you will find the depreciation schedule. This shows the depreciation percentage and dollar amount applied to each line item. Review this carefully. Carriers often apply blanket depreciation rates that do not account for the actual condition and remaining useful life of the damaged items. A 10-year-old roof does not depreciate the same way as a 10-year-old carpet.

Depreciation Alert

Always compare the depreciation applied to each line item against the actual age and condition of the item. Over-depreciation is one of the most common ways carriers underpay claims. In California, labor cannot be depreciated — only materials. This is per the FAIR Claims Settlement Practices Regulations.

CHAPTER 3

The 25 Most Commonly Omitted Line Items

Based on decades of experience reviewing carrier estimates, these are the 25 line items that insurance adjusters most frequently leave out. Every one of these represents real work that must be done — and real money that the policyholder is owed.

1. Content manipulation — moving furniture and belongings to access damaged areas
2. Floor protection during repairs — covering existing floors to prevent construction damage
3. Baseboard removal and reset — required for most drywall and flooring repairs
4. Shoe mold removal and reset — frequently overlooked at floor transitions
5. Door and window casing removal and reset — necessary when adjacent walls are repaired
6. Texture matching on repaired drywall — carriers often pay for smooth finish when texture exists
7. Paint primer — required before repainting repaired areas, almost always omitted
8. Multiple coats of paint — most surfaces require two coats for proper coverage
9. Masking and preparation for painting — time-consuming but essential
10. Matching paint on entire wall or room — you cannot just paint a patch
11. Electrical cover plate removal and reset — must be removed for drywall and painting
12. Light fixture removal and reset — same as above for overhead lighting
13. HVAC register removal and reset — vents must come off for drywall and painting
14. Toilet removal and reset — required for most bathroom floor replacements
15. Appliance disconnect and reconnect — when working behind or under appliances

16. Carpet transition strips — needed at doorways and room transitions
17. Carpet seaming — when matching new carpet to existing
18. Underlayment for flooring — carriers often price only the finish floor, not what goes under it
19. Rough carpentry for structural repairs — framing work behind drywall
20. Window and door hardware adjustment — necessary after structural or drywall movement
21. Code upgrades — current building code requirements that did not exist when the home was built
22. Permit fees — required for most structural, electrical, and plumbing work
23. General contractor overhead and profit — 10% overhead plus 10% profit is industry standard
24. Debris removal and dump fees — carriers routinely underestimate the volume and cost
25. Final cleaning after construction — standard on every job, frequently omitted

The Cumulative Effect

Individually, each of these omissions might only be a few hundred dollars. But when 10 or 15 of them are missing from a single estimate, the cumulative underpayment can easily reach \$10,000 to \$20,000 or more.

CHAPTER 4

Understanding Labor and Material Pricing

Xactimate's pricing database is based on surveys of contractors and suppliers in each geographic area. Prices are organized by zip code and updated monthly. In theory, the prices should reflect what contractors actually charge. In reality, there are several ways the pricing can be manipulated or may not reflect the true cost of repairs.

Program Pricing

Some carriers use what is called 'program pricing' — custom price lists that they negotiate with preferred vendors and then load into Xactimate to override the default local pricing. These prices are almost always lower than market rates because they reflect volume discounts that the policyholder does not benefit from. You are not required to use the carrier's preferred vendors, and you are not bound by their program pricing.

Labor Minimums

Xactimate has built-in minimum charges for most activities. For example, the minimum charge for a painting activity might cover up to 100 square feet. If the carrier's adjuster only scopes 50 square feet of painting, Xactimate will still charge the minimum. But if the carrier's adjuster underestimates the quantity, you might get less than you should because the minimum was not triggered or the excess quantity above the minimum was underestimated.

Material Quality Grades

Xactimate offers multiple quality grades for most materials. Standard grade, high grade, and premium grade each have different price points. If your home has high-quality materials and the carrier's adjuster selects standard grade, you are being underpaid.

Check every material line item against what is actually in your home.

Like Kind and Quality

You are entitled to be made whole — meaning your home should be restored to its pre-loss condition using materials of like kind and quality. If you have premium granite countertops, the carrier cannot pay you for builder-grade laminate.

CHAPTER 5

Overhead and Profit: When You Are Entitled to It

Overhead and Profit — commonly called O&P — is one of the most contentious issues in property insurance claims. O&P refers to the general contractor's overhead (typically 10%) and profit (typically 10%) that are added on top of the direct repair costs. When a general contractor manages a project, they charge O&P to cover their business expenses and earn a profit. This is standard in the construction industry.

Insurance carriers routinely exclude O&P from their estimates, arguing that the repairs do not require a general contractor. They claim the policyholder can hire individual subcontractors — a roofer, a drywall installer, a painter — and manage the job themselves. This is absurd in most cases. The average homeowner is not a construction manager and should not be expected to act as one.

The Three-Trade Rule

A commonly cited (though not universally accepted) guideline is the 'three-trade rule': if the repairs require three or more distinct trades — for example, a roofer, a drywall contractor, and a painter — then the job clearly requires general contractor coordination and O&P should be included. While this is not a formal legal standard, it is a persuasive argument in most appraisal and litigation settings.

O&P Rule of Thumb

If your repair requires multiple trades, you are almost certainly entitled to O&P. The carrier's argument that you should manage the project yourself does not hold up. You are entitled to hire a general contractor to manage the repairs, and that contractor is entitled to charge overhead and profit.

- O&P is standard at 10% overhead + 10% profit (20% combined) on the repair subtotal
- Carriers exclude it to save money, not because you are not entitled to it

- The more trades involved, the stronger your argument for O&P
- Some policies explicitly state O&P is included — check your policy language
- In California, DOI guidance supports O&P when a GC is reasonably required
- Get a written statement from a general contractor confirming they charge O&P on the type of work at issue

CHAPTER 6

Preparing a Supplement

A supplement is a formal request to the insurance company to revise its estimate to include items that were omitted, undervalued, or discovered after the initial inspection. Supplements are a normal part of the claims process — damage is often more extensive than it first appears, and not everything can be seen during a first visit.

The key to a successful supplement is preparation. You need to present the carrier with clear, documented evidence of the additional damage or costs. A well-prepared supplement includes a revised Xactimate estimate, photographs, contractor statements, and a cover letter explaining each additional item.

Structure of a Supplement Submission

1. Cover letter identifying the claim, the original estimate amount, and the supplemental amount requested
2. Comparison spreadsheet showing original line items vs. supplemental line items
3. Revised Xactimate estimate incorporating all supplemental items
4. Photographs documenting the additional or newly discovered damage
5. Contractor statements or bids supporting the supplemental items
6. Code compliance documentation for any code upgrade items
7. Building permit documentation if applicable

When writing your supplement, be specific. Do not just say 'additional drywall damage discovered.' Instead, write: 'Upon removal of damaged drywall in the master bedroom east wall, additional water staining and mold growth was discovered on the interior framing, extending 8 linear feet from the southeast corner. See attached photographs DSC_0341 through DSC_0348.' The more specific you are, the harder it is for the carrier to deny the supplement.

Documentation Rule

Always submit supplements in writing, with photographs, and keep a copy for your records. Verbal supplement requests are useless — they can be denied or forgotten. Put everything in writing.

CHAPTER 7

The Bid Comparison Method

The bid comparison method is one of the most effective tools in your arsenal for challenging an insurance carrier's Xactimate estimate. The concept is simple: you obtain two or three written bids from licensed, reputable contractors for the full scope of repairs, and then you compare those bids to the carrier's Xactimate estimate.

If three independent contractors all say the job costs \$85,000 and the carrier's estimate says \$45,000, you have extremely powerful evidence that the carrier's estimate is insufficient. Contractors do not have a financial incentive to inflate bids to insurance companies — they get paid the same regardless. The carrier's claim that its Xactimate estimate represents the real cost of repairs falls apart when real-world contractors disagree by 40% or more.

How to Obtain Effective Bids

- Use only licensed, insured contractors with experience in insurance restoration work
- Provide each contractor with the same scope of work for consistency
- Ask for itemized bids, not lump-sum proposals
- Ensure bids include overhead, profit, permits, and all necessary work
- Get bids from three contractors to establish a pattern
- Ask contractors to note any items in the carrier's scope that are missing or insufficient

The bid comparison method works especially well when the carrier has used program pricing or has significantly underscoped the work. It also works well in post-disaster scenarios when labor and material prices spike due to demand. Xactimate's monthly price updates often lag behind real-time market conditions, so in a post-disaster market, the database prices may be 20-30% below what contractors actually charge.

Presentation Tip

Present the bids alongside the Xactimate estimate in a side-by-side comparison. Highlight the total gap and the most significant line-item differences. This visual comparison is compelling to adjusters, appraisers, and judges alike.

CHAPTER 8

Commonly Missed Items by Room

Different rooms have different repair complexities and different items that carriers commonly miss. Here is a room-by-room breakdown of the most frequently omitted items.

Kitchen

- Appliance disconnect and reconnect (gas, electric, water lines)
- Countertop removal and replacement when cabinets below are damaged
- Backsplash removal and replacement when countertops are replaced
- Under-cabinet lighting removal and reinstallation
- Plumbing disconnect and reconnect for sinks and dishwashers
- Cabinet hardware replacement when refinishing or replacing cabinets

Bathroom

- Toilet removal and reset (required for nearly all floor repairs)
- Vanity removal and reset when walls or floors behind them need work
- Mirror removal and replacement — old mirrors often break during removal
- Medicine cabinet removal and reset
- Shower enclosure removal when adjacent walls need repair
- Waterproofing membrane on floors and behind tile — code-required in many jurisdictions

Living Areas and Bedrooms

- Baseboard removal, disposal, and replacement with matching profile

- Window casing and door casing removal and reset
- Closet systems (shelving, rods, organizers) removal and reinstallation
- Ceiling fan removal and reinstallation (including re-wiring if needed)
- Smoke detector relocation or replacement to meet current code
- Paint matching — entire walls or rooms, not just patched areas

Garage

- Garage door opener removal and reinstallation
- Wall-mounted storage systems
- Water heater disconnection and reconnection when walls behind it are affected
- Attic access panel removal and replacement
- Firewall drywall repairs (garage-to-house firewall requires specific materials)

CHAPTER 9

Code Upgrades the Carrier Did Not Include

Building codes change over time. When your home was built, it met the code requirements of that era. When you repair or replace damaged components today, the repairs must meet current code. This often means additional costs that did not exist when the home was originally built. These are called code upgrades, and most insurance policies include coverage for them — even though carriers routinely fail to include them in their estimates.

Common Code Upgrade Items

1. Electrical panel upgrades — older homes may have panels that no longer meet code
2. Arc-fault circuit interrupter (AFCI) breakers — required in bedrooms and living areas in most jurisdictions
3. Ground-fault circuit interrupter (GFCI) outlets — required in kitchens, bathrooms, garages, and outdoors
4. Tempered or safety glass — required near doors, in bathrooms, and at low elevations
5. Smoke detector hardwiring and interconnection — modern code requires hardwired interconnected detectors
6. Carbon monoxide detector installation — required on every level with sleeping areas
7. Stair riser and handrail upgrades — current code has specific height and spacing requirements
8. Attic and wall insulation to current R-value requirements — triggered by re-roofing or wall opening
9. Roofing underlayment upgrades — modern code often requires synthetic

underlayment or ice and water shield

10. Plumbing venting and supply line upgrades when fixtures are replaced

Check Your Policy

Your policy likely includes 'ordinance or law' coverage (Coverage E or an endorsement) that specifically pays for code upgrade costs. Check your declarations page. If you have this coverage and the carrier did not include code upgrades in their estimate, you are being underpaid.

Many policyholders do not even realize that code upgrades are a covered expense. Carriers certainly are not going to volunteer the information. When you review your estimate, ask yourself: would any of the repairs trigger a code upgrade? If the answer is yes — and it almost always is in homes more than 10 years old — then the carrier should be paying for it.

CHAPTER 10

Sample Supplement Letter

[Date]

[Insurance Company Name]

[Claims Department Address]

Re: Insured: [Your Name]

Policy Number: [Policy Number]

Claim Number: [Claim Number]

Date of Loss: [Date of Loss]

SUPPLEMENTAL CLAIM — ADDITIONAL DAMAGE AND OMITTED ITEMS

Dear [Adjuster Name]:

I am writing to supplement the above-referenced claim. Upon further inspection and during the course of repairs, additional damage has been identified and several items were omitted from your company's original estimate dated [date]. This supplement addresses those items.

Enclosed please find:

1. A revised Xactimate estimate incorporating all supplemental items (total supplement: \$[amount])
2. A line-item comparison between your original estimate and the revised estimate
3. Photographs documenting the additional damage (labeled and referenced in the estimate)
4. [Contractor bid / code requirement documentation / other supporting documents]

The following categories of items are addressed in this supplement:

A. Omitted Line Items: Items that should have been included in the original estimate but were not. These include [list major categories, e.g., content manipulation, baseboard removal and reset, primer and additional coats of paint, etc.].

B. Newly Discovered Damage: Damage that was not visible during the initial inspection. Upon [removing damaged drywall / lifting carpet / opening walls], the following additional damage was discovered: [describe].

C. Code Upgrades: The following code upgrades are required by current building code and are covered under the ordinance or law coverage in the policy: [list items].

D. Overhead and Profit: This repair requires coordination of [number] trades and general contractor management. Overhead (10%) and profit (10%) have been included per industry standard.

Please review this supplement and issue revised payment within 30 days. If you wish to re-inspect the property, please contact me to arrange a mutually convenient time.

Sincerely,

[Your Name]

Record Keeping

Keep a copy of every supplement submission, including all attachments. Send via certified mail or email with read receipt. Document the date sent and the date the carrier acknowledges receipt.

Handling Supplement Denials

When the carrier denies your supplement — and they often will on the first attempt — do not give up. Ask for the denial in writing with specific reasons for each denied item. Carriers often deny supplements by simply ignoring them or by issuing a vague response saying 'we have reviewed your supplement and find no additional payment is owed.' This is not an adequate response under California regulations.

Under 10 CCR 2695.7(b)(1), any denial must be in writing, must reference the specific policy provisions relied upon, and must provide specific factual reasons for the denial. If the carrier's supplement denial does not meet this standard, push back. Respond in writing citing the regulation and demanding a compliant denial. This creates a paper trail for a potential bad faith claim and often prompts the carrier to take a closer look at the supplement.

CHAPTER 11

Depreciation Line by Line: How Carriers Over-Depreciate

Depreciation is one of the most abused tools in the carrier's arsenal. When the carrier issues an ACV (Actual Cash Value) payment, they subtract depreciation from the replacement cost. The amount they depreciate directly reduces your initial payment. Over-depreciation is epidemic in the industry, and most policyholders do not know enough to challenge it.

How Depreciation Should Work

Depreciation is supposed to reflect the actual loss in value of a building component due to age, wear, and condition. A brand-new roof has a useful life of approximately 25-30 years depending on the material. If the roof is 10 years old and in good condition, a reasonable depreciation might be 33-40%. But carriers routinely apply 50-60% depreciation to the same roof, pocketing the difference.

Here is a critical point that most people do not know: in California, labor cannot be depreciated. Only materials can be depreciated. This comes from the Fair Claims Settlement Practices Regulations and has been reinforced by case law. When a roofing job costs \$30,000, roughly 40-50% of that cost is labor. If the carrier depreciates the entire \$30,000, they are illegally depreciating labor. The depreciation should only apply to the material portion of the cost.

Labor Cannot Be Depreciated

California law prohibits the depreciation of labor costs. If the carrier's estimate shows depreciation applied to the full line item amount (labor plus materials), they are over-depreciating your claim. Challenge it — the carrier must separate labor and materials for depreciation purposes.

Challenging Depreciation Rates

- Request the carrier's depreciation schedule in writing — they must provide one
- Compare the depreciation rate to the item's actual condition, not just its age
- A well-maintained 15-year-old roof may warrant less depreciation than a neglected 10-year-old roof
- Challenge blanket depreciation rates — each item should be depreciated individually
- Verify that labor is NOT being depreciated in any line item
- Check whether the carrier is using the correct useful life for each material
- Provide photos showing the pre-loss condition of items if available

CHAPTER 12

Matching Requirements: You Deserve a Uniform Result

One of the most overlooked rights policyholders have is the right to a uniform and consistent appearance after repairs. This is called the 'matching requirement,' and it can dramatically increase the scope and cost of repairs. The principle is simple: when you repair or replace a damaged component, the result must match the surrounding undamaged components in appearance, quality, and function.

For example, if a hailstorm damages half of your roof shingles and those shingles are discontinued, you cannot be left with a roof that is half new shingles and half old mismatched shingles. The carrier must pay to replace the entire roof so that it matches. The same principle applies to siding, flooring, paint, countertops, and virtually every visible component of your home.

Carriers hate matching claims because they multiply the cost of repairs. A carrier would love to replace only the 10 damaged tiles in your kitchen floor, even if the replacement tiles are a slightly different color and the pattern does not match. That is not acceptable. You are entitled to a uniform appearance, and if that means replacing the entire floor to achieve it, the carrier must pay for the entire floor.

Matching Is a Right

The matching requirement is not about cosmetic preference — it is about restoring your property to pre-loss condition. If the repair is visible and does not match, it has not been restored to pre-loss condition, and the carrier has not fulfilled its obligation under the policy.

Common Matching Disputes

- Roofing — discontinued shingles that cannot be matched require full roof replacement
- Siding — faded or discontinued siding panels require replacement of the entire elevation or home

- Flooring — hardwood, tile, or carpet that cannot be matched requires full room or area replacement
- Paint — you cannot paint one wall a slightly different shade; the entire room must match
- Countertops — if the countertop material is discontinued, the entire surface must be replaced
- Cabinetry — replacing one cabinet with a non-matching style is not acceptable

CHAPTER 13

Program Pricing Exposed: What Carriers Do Not Want You to Know

Program pricing is the insurance industry's dirty little secret. Most policyholders have never heard of it, and carriers certainly do not advertise it. Here is how it works: insurance carriers negotiate volume discounts with preferred contractor networks. They then load these discounted prices into Xactimate, overriding the software's default local market pricing. When your estimate is prepared using these program prices, every line item is artificially reduced.

The problem is that you — the policyholder — are not a party to these volume agreements. You have the right to hire any licensed contractor you choose. And the contractor you hire charges market rates, not the carrier's negotiated program rates. If the carrier's estimate uses program pricing, it will not cover the actual cost of repairs from an independent contractor.

How do you know if program pricing is being used? Look at the pricing page of the Xactimate estimate. It will show the price list name. If the price list is anything other than a standard Xactimate local price list — if it has the carrier's name in it, or a code that indicates a managed repair network — program pricing is likely in play. You can also compare individual line item prices to the standard Xactimate rates for your zip code. If the estimate prices are consistently lower, program pricing is the likely culprit.

You Choose Your Contractor

You are not bound by the carrier's program pricing. If their estimate does not cover the actual cost of repairs from a licensed contractor of your choosing, the estimate is inadequate. Challenge it with contractor bids and demand standard market-rate pricing.

CHAPTER 14

Water Mitigation and Emergency Services Line Items

If your loss involved water damage — from a burst pipe, a roof leak, or firefighting efforts — the estimate will include (or should include) water mitigation line items. Water mitigation is the emergency process of extracting standing water, setting up drying equipment, monitoring moisture levels, and preventing mold growth. These services are provided by water restoration companies and are billed separately from the permanent repairs.

Water mitigation invoices are among the most frequently disputed items in insurance claims. Carriers routinely challenge the number of drying days, the quantity of equipment placed, the necessity of certain services, and the pricing. Understanding the line items on a mitigation invoice helps you push back when the carrier tries to reduce the payment.

Common Water Mitigation Line Items

- Water extraction — removing standing water with truck-mounted or portable extractors
- Air mover placement — fans placed to create airflow and accelerate drying
- Dehumidifier placement — industrial dehumidifiers to remove moisture from the air
- Moisture monitoring — daily readings to track the drying progress
- Antimicrobial application — chemical treatment to prevent mold and bacterial growth
- Content manipulation — moving furniture and belongings to access wet areas
- Carpet and pad removal — wet carpet padding almost always needs to be replaced
- Baseboard removal — required to access and dry wall cavities

- Demolition of water-damaged materials — drywall, insulation, and flooring that cannot be dried
- Equipment daily charges — air movers and dehumidifiers are charged per unit per day

The IICRC S500 Standard is the industry standard for professional water damage restoration. It sets guidelines for how many air movers and dehumidifiers should be placed based on the area affected, and it establishes standards for when drying is complete. If the carrier's reviewer is trying to reduce your mitigation invoice, ask them to cite which IICRC standard they believe was violated. More often than not, the mitigation company followed the standard and the carrier is just looking for a discount.

Mitigate Immediately

Never let the carrier delay water mitigation. Every hour that water sits, the damage increases and the risk of mold grows. If you have water damage, call a mitigation company immediately — do not wait for the carrier to approve it. The policy requires you to protect the property from further damage.

CHAPTER 15

Xactimate Estimate Review Checklist

Use this chapter as a quick-reference checklist every time you receive an Xactimate estimate from your insurance carrier. Go through each item systematically and note any deficiencies.

General Estimate Review

- Is the correct price list being used? (Check for program pricing vs. standard local rates)
- Are the measurements accurate? (Verify room dimensions against your own measurements)
- Are all affected rooms included? (Check that no rooms were skipped or partially scoped)
- Is the correct quality grade of materials selected? (Standard, high, premium)
- Does the scope match what you see? (Are all damaged items included?)

Line Item Review

- Are all necessary removal items included? (Baseboards, shoe mold, casing, hardware, fixtures)
- Are all necessary prep items included? (Content manipulation, floor protection, masking)
- Is primer included before painting?
- Are multiple coats of paint included where needed?
- Is the correct paint type specified? (Flat, eggshell, semi-gloss per the room)
- Are matching requirements addressed? (Full wall/room painting, continuous flooring, matching siding)

- Is drywall texture matching included?
- Are electrical and plumbing disconnects and reconnects included?
- Is toilet removal and reset included for bathroom floor work?

Overhead, Profit, and Other Charges

- Is overhead and profit included? (If multiple trades are needed, it should be)
- Are permit fees included? (Required for most structural, electrical, and plumbing work)
- Are debris removal and dump fees included at realistic quantities?
- Is final cleaning included?
- Are code upgrades included under Ordinance or Law coverage?

Depreciation Review

- Is the depreciation rate reasonable for each item's age and condition?
- Is labor being depreciated? (It should NOT be — California law prohibits this)
- Are the useful life assumptions reasonable?
- Is there a depreciation schedule that breaks down each item individually?

Use This Checklist

Print this checklist and use it every time you review a carrier estimate. Identify every deficiency, document it, and include it in your supplement or appraisal submission.

CHAPTER 16

Frequently Asked Questions About Xactimate Disputes

Q: Can I get my own Xactimate estimate prepared?

A: Yes. Any licensed public adjuster, contractor, or estimator with an Xactimate subscription can prepare an estimate for you. Having your own Xactimate estimate is extremely powerful because it allows you to make an apples-to-apples comparison with the carrier's estimate. The cost for a professional Xactimate estimate ranges from \$500 to \$3,000 depending on the size and complexity of the loss.

Q: What if the carrier says their estimate is 'generated by the computer' and cannot be changed?

A: This is a common tactic and it is nonsense. Xactimate does not generate estimates by itself — a human enters the data. Every line item, every quantity, and every material selection was chosen by the carrier's adjuster. The estimate can absolutely be changed by the same adjuster who created it. If the carrier claims the estimate is computer-generated and final, demand to speak with the person who prepared it.

Q: The carrier says they will only pay Xactimate pricing. My contractor charges more. What do I do?

A: You are entitled to the actual cost of repair, not an arbitrary software-generated price. If your licensed contractor charges more than Xactimate pricing, submit the contractor's bid and demand the difference. The California Fair Claims Settlement Practices Regulations require the carrier to pay the actual cost of repair — not the cost according to their preferred estimating software.

Q: How do I know if the carrier used program pricing on my estimate?

A: Look at the pricing page of the Xactimate estimate. It will show the price list name and version. If it says something like 'XACTIMATE LOCAL' or similar standard naming, it is likely the default price list. If it has the carrier's name, a code, or a reference to a managed repair network, program pricing is in use. You can also compare individual line item prices to published Xactimate pricing for your zip code — if the prices are consistently lower, program pricing is the likely cause.

Need Help With Your Claim?

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California Licensed Public Adjuster